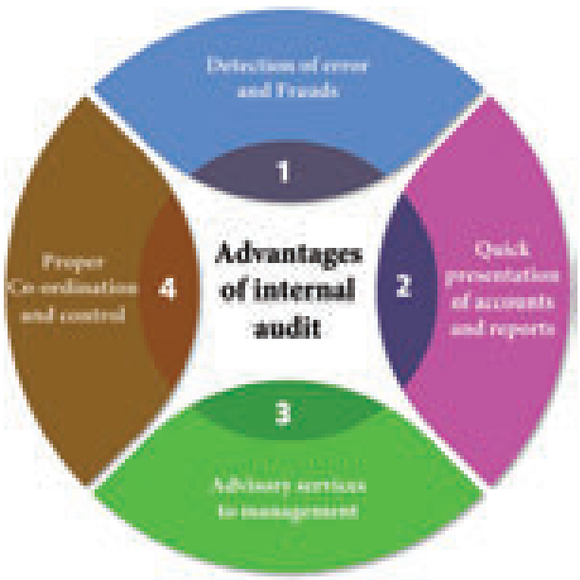
External Audit

- Audit conducted externally i.e., by the shareholders to examine the accuracy of the books of accounts, records and financial statements.
- The person who conducts external audit is called as Statutory or External Auditor who is appointed by the shareholders of the company. The scope of work, powers and duties of statutory auditor are determined by the Companies Act.
- Statutory Auditor should be a qualified Chartered Accountant and is remunerated in the form of audit fees as he is an independent person.
- Statutory auditor submits Statutory Audit report to the shareholders of the company.

3.6 Advantages of Internal Audit

The advantages of conducting an Internal audit are as follows:



1. **Detection of Errors and Frauds:** Internal audit is a continuous and critical examination of books of accounts and records of the organization; hence errors and frauds can be easily detected and prevented.
2. **Quick Presentation of Accounts and Reports:** Transactions and postings in the books of accounts reviewed on a regular basis, which facilitates quick presentation of accounts and reports to the management. It also enables the external auditor to finalize the accounts quickly as the external auditor relies on the report submitted by the internal auditor.
3. **Advisory Services to Management:** Internal auditor who possess in depth knowledge of the business organization provides advisory services to the management like introduction of new product, improving the system of internal check and control to operations, etc.
4. **Proper Co-ordination and Control:** Internal audit coordinates the various operational or functional areas of business. It is the duty of the internal auditor to appraise and evaluate the efficiencies of the various control systems established in the organization. Hence, internal audit enables proper control and coordination in the organization.

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